O'NEILL SCHOOL OF PUBLIC AND ENVIRONMENTAL AFFAIRS · INDIANA UNIVERSITY BLOOMINGTON

SPEA-E 340: Environmental Economics and Finance

Fall 2026 · Instructor: Nilesh Shinde · Meets Mondays and Wednesdays

Course Description

This course explores the economic principles behind environmental problems and the policies designed to address them. We examine the foundations of markets and the ways they fail in the presence of externalities, public goods, and common-pool resources. Students learn methods for valuing environmental benefits — including travel cost, hedonic pricing, and stated preference techniques — and evaluate policy instruments such as command-and-control regulation, environmental taxes, tradable permits, and subsidies. We also study topics in environmental finance, including carbon markets and green investments.

Learning Outcomes

- Explain core theories of environmental economics, including market efficiency and market failures.
- Apply economic valuation methods, including travel cost, hedonic pricing, and stated preference techniques.
- Evaluate environmental policy instruments designed to address specific market failures.
- Compare and interpret environmental policies across time and across the U.S. and other countries.
- Assess and defend policy recommendations using efficiency, equity, and unintended-consequences analyses.
- Communicate policy insights effectively through written work and presentations.

Texts

Required: Keohane, N. O., & Olmstead, S. M. (2016). *Markets and the Environment* (2nd ed.). Island Press. Either edition is acceptable; referred to below as K&O.

Optional: Jaeger, W. K. (2005). *Environmental Economics for Tree Huggers and Other Skeptics*. Island Press.

Journal articles, reports, podcasts, and videos supplement the textbook, particularly for environmental justice, informatics, ESG finance, and recent U.S. legislation.

Assessment

Component	Weight
In-class quizzes (≈19 unannounced; lowest 3 dropped)	20%
Assignments (10; lowest dropped)	20%
Midterm exam (in class, Modules 1–2)	30%
Final exam (cumulative)	30%

- **Quizzes** are short (≈5 minutes, three questions), closed-note, and draw on current and earlier material. They cannot be made up.
- **Assignments** lose 1% per hour after the deadline; no credit after 48 hours.
- **Exams** are closed-note and on paper. There are no make-up exams; a missed midterm's weight rolls into the final (60%).

A+	A	A–	B+	B	B–	C+	C	C–	D+	D	D–	F
97–100	93–97	87–92	82–86	75–81	69–74	62–68	55–61	50–54	40–49	30–39	20–29	<20

Generative AI Policy

AI may be used only to locate sources (which students must read and cite themselves), to check understanding of a concept already worked through, and for spelling and grammar. All other use — including generating answers, graphs, or any portion of submitted work — is prohibited. No AI use of any kind is permitted on exams or quizzes.

Schedule and Readings

Lec	Date	Topic	K&O Reading	Due
Module 1 — Introduction to Environmental Economics				
1	Mon Aug 24	Introduction to Environmental Economics	Ch. 1	
2	Wed Aug 26	Market Failures	Ch. 5	
3	Mon Aug 31	Property Rights (Coase)	Ch. 6, 8	A#1
4	Wed Sep 2	Standards, Taxes, Permits & Subsidies (Pigou)	Ch. 8	
—	*Mon Sep 7*	*Labor Day — no class*		
5	Wed Sep 9	Collective Action (Ostrom)	Ch. 5 + supplements	A#2
Module 2 — Measuring Environmental Benefits and Costs				
6	Mon Sep 14	Econometrics	Ch. 3 + supplements	
7	Wed Sep 16	Environmental Informatics	Supplements	
8	Mon Sep 21	Discounting and Cost–Benefit Analysis	Ch. 2	
9	Wed Sep 23	Travel Cost Method	Ch. 3	
10	Mon Sep 28	Contingent Valuation	Ch. 3	A#3, A#4
11	Wed Sep 30	Stated Preference & Defensive Behavior	Ch. 3 + supplements	
12	Mon Oct 5	Hedonics & Real Estate Markets	Ch. 3	
13	Wed Oct 7	Carbon Accounting & Offset Markets	Ch. 8–11	
14	Mon Oct 12	Climate Risk & Financial Instruments (Green & ESG)	Ch. 11 + supplements	A#5
15	Wed Oct 14	Natural Capital Accounting	Ch. 11	
Midterm				
16	Mon Oct 19	Midterm Review	Ch. 1–11 (selective)	
17	Wed Oct 21	Midterm Exam (Modules 1–2)		
Module 3 — Environmental Policy and Regulation				
18	Mon Oct 26	Economics of Environmental Regulation	Ch. 2, 8, 9	A#6
19	Wed Oct 28	Clean Air Act	Ch. 10 + supplements	
20	Mon Nov 2	Clean Water Act	Ch. 10 + supplements	A#7
21	Wed Nov 4	Safe Drinking Water Act	Supplements	
22	Mon Nov 9	Hazardous Wastes (CERCLA & RCRA)	Ch. 2 + supplements	
23	Wed Nov 11	Regulating Cars	Ch. 9–10	
Module 4 — Topics in Environmental Economics & Policy				
24	Mon Nov 16	Forests & Fisheries	Ch. 7	A#8
25	Wed Nov 18	Environmental Justice in Regulation I (U.S.)	Supplements	
—	*Nov 22–29*	*Thanksgiving Break — no classes*		
26	Mon Nov 30	Environmental Justice in Regulation II (Global)	Supplements	A#9
27	Wed Dec 2	Market-Based Environmental Regulation in Practice	Ch. 9–10	
28	Mon Dec 7	What's Next? IRA, BIL & *West Virginia v. EPA*	Supplements	A#10
29	Wed Dec 9	Final Exam Review	Cumulative	
Final Exam — Wednesday, December 16, 2026, 3:00–5:00 PM (cumulative)				

Schedule subject to limited change. This is an abbreviated public version of the syllabus; enrolled students should refer to the full syllabus on Canvas for course policies and university resources.